

things that make no sense. For example, some people believe that Barack Obama is not a U.S. citizen. The point is that beliefs that are completely invulnerable to evidence and passionately defended can be quite durable. It has nothing to do with the fundamental logic.

That's a political example. But what would be a tradable example?

Gold is special, magical, and great. It's not. But if people believe it, they buy it. And if they buy it, it goes up. That's why there's a bull market. You can't go to a meeting without someone saying, "What do you think about gold?"

What does that tell you?

It tells you that you should be long gold.

So, going back to the Nasdaq bubble, another example would be people saying that it doesn't matter if a company is losing money, all that matters is how many clicks they are getting on their website.

Yes, exactly. The utter irrationality of the fundamental justification doesn't matter. And if you try and point that out to somebody, they will just give you an even more ridiculous justification why the market should go up. You cannot shake them at all from their belief. Those are the characteristics of bubble markets. The reason why they have legs is because it takes such enormous evidence to make people change their minds.

How do you know when it does change?

You know the dot-com bubble is over when it starts going down. It will be the same thing with gold.

Right now as we talk, gold is somewhere just north of \$1,500 and not far from its all-time high. So what you are saying is that the gold top could be now; it could be at \$2,000; it could be at \$2,500; it could be any number.

And that's okay. The thing about gold is that if you told me gold has a price of \$100, that's fine. If you told me it's \$10,000, that's fine as well. It can be any price. Gold is worth exactly what people think it's worth.

I am sure you know why that is true for gold.